

STATEMENT OF PURCHASE (SOP)

Supplier Operating Procedure & Master Services Agreement

Contract ID:	SOP-2026-0847-DE
Effective Date:	January 15, 2026
Expiry Date:	January 14, 2028 (Auto-renewable)
Buyer:	ProcureMind Industries S.p.A.
Supplier:	Precision Parts GmbH
Supplier VAT:	DE123456789
Contract Value:	€2,450,000.00 (Two Year Agreement)
Category:	Precision Machined Components — CNC Aluminum & Steel
Governing Law:	Federal Republic of Germany — HGB & BGB
Jurisdiction:	Stuttgart Regional Court (Landgericht Stuttgart)

SECTION 1: SCOPE OF WORK & DELIVERABLES

1.1 Product Specifications. Supplier shall manufacture and deliver precision-machined components per buyer's technical drawings, BOMs, and quality specifications attached as Annexure A (incorporated by reference). All components must conform to DIN EN ISO 9001:2015 and AS9100D aerospace quality standards where applicable.

1.2 Volume Commitments. Buyer commits to minimum annual volume of **50,000 units** across SKU portfolio, with quarterly forecasts provided 60 days in advance. Supplier shall maintain buffer stock equivalent to 30 days of forecasted demand at no additional charge to buyer. Failure to maintain buffer stock shall constitute a material breach.

1.3 Exclusivity Clause. Supplier grants buyer **non-exclusive** procurement rights for listed components within EU territory. Supplier may not sell identical components to buyer's direct competitors (as defined in Annexure C — Competitor List) at prices lower than those offered to buyer without prior written consent. This exclusivity provision shall survive contract termination for a period of 12 months.

SECTION 2: PRICING, PAYMENT & FINANCIAL TERMS

2.1 Pricing Structure. Unit prices are fixed for the first 12 months of the contract term. Annual price adjustments capped at **CPI + 2%** (German Consumer Price Index) for second year. Any increase

beyond this threshold requires mutual written agreement with 90-day advance notice. Raw material surcharge (aluminum LME + steel index) may be applied with documented justification and buyer approval.

2.2 Payment Terms — CRITICAL RISK IDENTIFIED. Standard payment terms are **Net 90 days** from date of goods receipt and quality acceptance. Late payments subject to interest at **8% per annum** (above ECB reference rate + 6%), compounded monthly. Buyer reserves right to offset payments against any claims, disputes, or warranty obligations. Supplier acknowledges that extended payment terms may impact cash flow and agrees to this arrangement as a condition of contract award.

2.3 Currency & Tax. All prices quoted in EUR (€). VAT at prevailing German rate (currently 19%) applied to all invoices. Buyer requires valid VAT invoice with correct tax point dating. Any tax penalties arising from supplier invoicing errors shall be borne solely by supplier.

2.4 x402 Payment Protocol (Experimental). Buyer may, at its sole discretion, settle selected invoices via x402 micropayment protocol on Base L2 blockchain using USDC. Supplier agrees to maintain compatible wallet infrastructure. Transaction fees (gas) borne by buyer. Settlement finality occurs upon blockchain confirmation (typically < 5 seconds). This provision is optional and does not replace standard EUR wire transfer as primary payment method.

SECTION 3: DELIVERY, LOGISTICS & INCOTERMS

3.1 Incoterms 2020. All deliveries shall be made **DAP (Delivered at Place)** buyer's designated facility in Milan, Italy (Incoterms 2020). Risk of loss transfers upon placement of goods at named destination. Supplier bears all costs and risks until delivery. Transport insurance minimum coverage: **110% of CIF value** per shipment.

3.2 Delivery Schedule & Penalties. Standard lead time: **14 calendar days** from PO confirmation. Expedited delivery (7 days): +15% surcharge. Critical delivery (3 days): +35% surcharge. **Liquidated Damages:** For each day of delay beyond agreed delivery date, supplier shall pay 0.5% of delayed shipment value per day, capped at 10% of total contract value. Buyer may terminate contract without penalty if cumulative delays exceed 30 days in any rolling 90-day period.

3.3 Packaging & Labeling — MEDIUM RISK. All goods must be packaged per **ISPM-15** international phytosanitary standards for wooden packaging materials. Supplier responsible for proper HS code classification and customs documentation. Incorrect classification resulting in customs delays, penalties, or seizures shall be supplier's financial responsibility. Buyer shall not be liable for demurrage or port storage charges arising from documentation errors.

SECTION 4: QUALITY ASSURANCE & INSPECTION

4.1 Quality Standards. All components must meet **ISO 9001:2015** and **AS9100D** (where aerospace applicable) quality management standards. Supplier must maintain valid certification throughout contract term. Buyer reserves right to conduct unannounced audits of supplier's quality management system with 48-hour notice.

4.2 Inspection Rights. Buyer may inspect goods upon receipt. Acceptance period: **5 business days** from delivery. Hidden defects discovered within **24 months** of delivery (extended warranty period) shall be remedied at supplier's cost including all shipping, handling, and replacement expenses. Supplier shall maintain product liability insurance with minimum coverage of **€5,000,000** per occurrence.

4.3 Rejection & Rework. Non-conforming goods may be rejected in whole or part. Supplier shall bear all costs of return, replacement, and expedited re-delivery. Repeated quality failures (>2% rejection rate in any quarter) shall entitle buyer to invoke step-in rights: engage alternative supplier at supplier's cost or terminate contract for cause with immediate effect.

SECTION 5: LIABILITY, INDEMNIFICATION & FORCE MAJEURE

5.1 Liability Cap — HIGH RISK. Supplier's aggregate liability for all claims arising under or related to this contract shall be limited to **€500,000** or the value of goods delivered in the 12 months preceding the claim, **whichever is lower**. This cap applies regardless of legal theory (contract, tort, strict liability, etc.) and regardless of whether damages were foreseeable. **CRITICAL EXCEPTION:** This cap **DOES NOT APPLY** to: (i) bodily injury or death, (ii) willful misconduct or fraud, (iii) IP infringement, (iv) breach of confidentiality, or (v) regulatory violations. Buyer strongly recommends supplier review this limitation with legal counsel before execution.

5.2 Indemnification. Supplier shall indemnify, defend, and hold harmless buyer against all claims, losses, damages, and expenses (including reasonable attorneys' fees) arising from: (a) product defects, (b) IP infringement, (c) regulatory non-compliance, (d) breach of representations/warranties, (e) negligence or willful misconduct by supplier or its personnel.

5.3 Force Majeure. Neither party liable for failure due to events beyond reasonable control: war, terrorism, natural disasters, pandemic (WHO-declared), government action, or critical infrastructure failure. **Force Majeure does NOT include:** economic hardship, market price fluctuations, labor disputes (unless industry-wide), or supplier's financial insolvency. Notice required within 48 hours of event onset. Maximum suspension: 90 days, after which either party may terminate without penalty.

SECTION 6: INTELLECTUAL PROPERTY & CONFIDENTIALITY

6.1 Background IP. Each party retains ownership of pre-existing IP. No implied license granted except as necessary to perform contractual obligations.

6.2 Foreground IP — MEDIUM RISK. Improvements, modifications, or derivative works created specifically for buyer's components shall be owned by **buyer** (work-for-hire designation). Supplier retains right to use general know-how and non-customized processes. Custom tooling, jigs, and fixtures paid for by buyer shall remain buyer's property and be returned or destroyed upon contract termination. Supplier shall not use buyer's custom designs for any third party without express written authorization.

6.3 Confidentiality. All technical drawings, specifications, pricing, and business information disclosed during contract performance shall be treated as strictly confidential for a period of **7 years** from disclosure (or 3 years post-termination, whichever is longer). Supplier shall implement appropriate technical and organizational measures per GDPR Article 32 to protect buyer data. Breach of confidentiality shall entitle buyer to injunctive relief without proof of damages.

SECTION 7: TERMINATION & POST-TERMINATION OBLIGATIONS

7.1 Termination for Convenience. Either party may terminate this contract with **180 days written notice** without cause. Upon such termination: (a) buyer shall pay for all conforming goods delivered and accepted prior to termination date, (b) supplier shall complete work-in-progress for which raw materials have been irrevocably committed (subject to buyer's right of inspection), (c) supplier shall transfer all buyer-owned tooling and IP within 30 days.

7.2 Termination for Cause. Either party may terminate immediately upon: (a) material breach uncured within 30 days of notice, (b) insolvency, bankruptcy, or dissolution, (c) repeated quality failures (>5% rejection in any quarter), (d) breach of confidentiality or IP provisions, (e) regulatory revocation of required certifications. Termination for cause does not limit either party's right to pursue damages.

7.3 Survival. Sections 5 (Liability), 6 (IP/Confidentiality), 8 (Dispute Resolution), and any accrued payment obligations shall survive contract termination.

SECTION 8: DISPUTE RESOLUTION & GOVERNING LAW

8.1 Governing Law. This contract shall be governed by and construed in accordance with laws of the **Federal Republic of Germany**, excluding its conflict of laws principles and the UN Convention on Contracts for the International Sale of Goods (CISG).

8.2 Dispute Resolution — MEDIUM RISK. Parties shall first attempt amicable resolution through good-faith negotiation (30 days). Failing resolution, disputes shall be submitted to binding arbitration under **ICC Rules** in Stuttgart, Germany, conducted in English language by a panel of three arbitrators. Arbitration award shall be final and enforceable in any competent jurisdiction. **Notwithstanding arbitration agreement**, either party may seek interim injunctive relief from competent courts to prevent irreparable harm. Arbitration costs borne by losing party unless tribunal decides otherwise.

8.3 Class Action Waiver. Each party waives right to participate in class actions, private attorney general actions, or consolidated arbitrations. All claims must be brought in individual capacity only.

SECTION 9: REPRESENTATIONS, WARRANTIES & COVENANTS

9.1 Supplier Representations. Supplier represents and warrants that: (a) it is duly organized and validly existing under German law, (b) it has full power and authority to execute and perform this contract, (c) execution does not violate any other agreement or law, (d) goods shall be free from defects in design, materials, and workmanship, (e) goods shall conform to all applicable laws, regulations, and standards, (f) goods do not infringe any third-party IP rights, (g) it maintains all required licenses, permits, and certifications.

9.2 Anti-Corruption — LOW RISK. Supplier shall comply with all applicable anti-corruption laws including German Anti-Corruption Act (Gesetz zur Bekämpfung der Korruption), UK Bribery Act 2010, and U.S. Foreign Corrupt Practices Act. Supplier shall not offer, pay, or authorize any bribe, kickback, or improper benefit to any buyer personnel or government official. Supplier maintains written anti-corruption policy and trains relevant personnel annually. Buyer may audit compliance upon reasonable notice.

9.3 Modern Slavery & Human Rights. Supplier warrants that no forced labor, child labor, or human trafficking is used in any part of its supply chain. Supplier shall comply with German Supply Chain Due Diligence Act (LkSG) and EU Corporate Sustainability Due Diligence Directive (CSDDD). Upon buyer's request, supplier shall provide evidence of compliance including third-party audit certificates.

SECTION 10: GENERAL PROVISIONS

10.1 Entire Agreement. This contract (including all annexures) constitutes the entire agreement between parties and supersedes all prior negotiations, representations, and understandings. No amendment valid unless in writing signed by both parties' authorized representatives.

10.2 Assignment. Neither party may assign this contract without prior written consent, except either party may assign to an affiliate or successor in connection with a merger, acquisition, or sale of substantially all assets. Buyer may assign receivables to financing institutions without supplier consent.

10.3 Severability. If any provision is held invalid or unenforceable, remaining provisions shall continue in full force. Parties shall negotiate replacement provision closest to original intent.

10.4 Notices. All notices shall be in writing delivered by: (a) registered mail with return receipt, (b) internationally recognized courier with tracking, or (c) email with read receipt to addresses specified in Annexure B. Notice effective upon receipt or 5 business days after mailing, whichever is earlier.

10.5 Language. This contract is executed in English language. In case of translation discrepancies, English version shall prevail.

SIGNATURES

IN WITNESS WHEREOF, the parties have executed this Statement of Purchase through their duly authorized representatives as of the Effective Date first written above.

FOR BUYER:

ProcureMind Industries S.p.A.

Via Milano 42, 20121 Milan, Italy

FOR SUPPLIER:

Precision Parts GmbH

Industriestraße 15, 70173 Stuttgart, Germany

Authorized Signature

Name: Marco Bianchi

Title: Chief Procurement Officer

Date: _____

Corporate Seal:

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Authorized Signature

Name: Dr. Klaus Weber

Title: Managing Director

Date: _____

Corporate Seal:

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ANNEXURES

Annexure A	Technical Specifications & Drawings (142 pages)
Annexure B	Notice Addresses & Contact Directory
Annexure C	Prohibited Competitor List (Confidential)
Annexure D	Quality Control Plan & Inspection Protocols
Annexure E	Packaging & Labeling Standards
Annexure F	x402 Wallet Configuration & Testnet Parameters

CONTRACT RISK ASSESSMENT SUMMARY

This summary is provided for executive review and does not form part of the binding contractual terms. For full legal effect, refer to the complete document above.

Risk Level	Clause Reference	Risk Description	Mitigation Recommendation
■ HIGH	\$2.2, \$5.1	Net 90 payment terms + €500K liability cap	Negotiate Net 45; increase cap to €2M or contract value
■ HIGH	\$5.1	Aggregate liability capped at lower of €500K or 12 months value	Request 24 months value for consequential damages; increase cap
■ MEDIUM	\$3.3	ISPM-15 packaging & customs documentation liability	Obtain liability broker insurance; clarify HS code verification
■ MEDIUM	\$6.2	Buyer ownership of custom designs & tooling	Negotiate IP license-back for general manufacturing knowledge
■ MEDIUM	\$8.2	ICC arbitration in Stuttgart (buyer-favorable)	Consider neutral venue (Paris/London) or split jurisdiction
■ LOW	\$9.2	Anti-corruption compliance requirements	Maintain existing compliance program; annual training
■ LOW	\$6.1	Background IP retention (standard provision)	No action required — mutual retention is fair